

Any one of these could have an outsized impact that changes the secular environment.

Instead of hard and fast rules, you should think of market cycles in terms of broad ranges, with no two eras exactly alike. But generally, you should recognize some commonalities as to what drives economies and the markets across various eras. And since we never know exactly what the future holds, it is useful to lean toward probabilities instead of specific binary (bull/bear) forecasts.



Now that we understand the difference between secular and cyclical markets, let's consider how valuations of stocks affect markets. The answer might surprise you.

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[188](#) Heinrich Schwabe first noted this in 1843. See also: "The Solar Cycle," NASA (October 27, 2011).